

Fundamentals of Management

Introduction to Management

Management is the process of planning, organizing, leading, and controlling resources (people, money, materials) efficiently and effectively to achieve specific organizational goals. It's about getting things done through others to meet objectives.

Definitions of Management

- **George R. Terry:** "Management is a distinct process consisting of planning, organising, actuating and controlling, performed to determine and accomplish stated objectives by the use of human beings and other resources."
- **Peter F. Drucker:** "A multipurpose organ that manages a business and manages managers and manages workers and works."
- **Henri Fayol:** Defined management through five functions: planning, organizing, commanding, coordinating, and controlling.

Administration vs. Management

Basis	Administration	Management
Meaning	Formulation of objectives, policies.	Getting work done through and with others.
Nature of Work	Thinking function, decision-making.	Doing function, execution of decisions.
Status	Higher level in the organization.	Relevant at lower levels in the organization.
Decision Making	Determines what is to be done and when.	Decides who shall implement the administrative decisions.

Functions of Management

The management process involves several key functions:

- **Planning:** Deciding in advance what to do, how to do it, and who will do it.
- **Organizing:** Arranging resources and activities to achieve objectives.
- **Staffing:** Recruiting, selecting, training, and developing employees.
- **Directing:** Guiding and motivating employees to perform their tasks.
- **Controlling:** Measuring performance, comparing it to standards, and taking corrective actions.

Effectiveness vs. Efficiency

- **Effectiveness:** Doing the right things; working in a goal-oriented manner; your measures are effective.
- **Efficiency:** Doing things right; working in a resource-saving manner; your measures are

economical.

Characteristics of Management

- **Goal-oriented:** Aims to achieve specific objectives.
- **Intangible:** Influences organizations through abstract skills.
- **Multi-dimensional:** Balances various business aspects.
- **Continuous Process:** An ongoing cycle of improvement and adaptation.
- **Universal:** Applicable to all types of businesses.
- **Dynamic:** Adapts to changes in the market and technology.
- **People-oriented:** Motivates and guides teams for high performance.

Management as an Art, Science, and Profession

- **Art:** Involves creativity, personalized approach, and a lot of practice.
- **Science:** Based on systematic theoretical knowledge, universal validity, and experiments.
- **Profession:** Requires formal education and training, restricted entry, ethical code of conduct, and professional associations.

Levels of Management

- **Top Management:** Chief Executive Officer (CEO), President, Managing Director. Responsible for overall strategy and policy.
- **Middle Management:** Marketing Manager, Finance Manager, Branch Manager. Implements top management's plans and supervises lower management.
- **Lower or Operative Management:** Supervisor, Foreman, Clerk. Directly oversees the workforce and daily operations.

Managerial Roles (Henry Mintzberg)

- **Interpersonal Roles:**
 - **Figurehead:** Performing ceremonial duties.
 - **Leader:** Motivating and directing employees.
 - **Liaison:** Maintaining a network of contacts outside the unit.
- **Informational Roles:**
 - **Monitor:** Gathering information.
 - **Disseminator:** Sharing information with subordinates.
 - **Spokesperson:** Representing the organization to outsiders.
- **Decisional Roles:**
 - **Entrepreneur:** Initiating change and innovation.
 - **Disturbance Handler:** Dealing with unexpected problems.
 - **Resource Allocator:** Deciding how to use resources.
 - **Negotiator:** Representing the organization in negotiations.

Principles of Management

Management principles are fundamental truths providing guidelines for managerial decision-making and actions. They are:

- Universal
- Flexible
- Based on cause and effect relationships

Henri Fayol's 14 Principles

1. **Division of Work:** Specialization of tasks.
2. **Authority and Responsibility:** The right to give orders and the obligation to perform.
3. **Discipline:** Obedience and respect for rules.
4. **Unity of Command:** Each employee should receive orders from only one superior.
5. **Unity of Direction:** One head and one plan for a group of activities having the same objective.
6. **Interest:** The interests of the organization should take precedence over individual interests.
7. **Remuneration:** Fair wages and compensation for employees.
8. **Centralization:** The degree to which authority is concentrated at the top.
9. **Scalar Chain:** The line of authority from top to bottom.
10. **Order:** A place for everything and everything in its place.
11. **Equity:** Kindness and fairness in treatment of employees.
12. **Stability of Tenure:** Minimizing employee turnover.
13. **Initiative:** Allowing employees to develop and carry out plans.
14. **Esprit De Corp:** Team spirit and harmony.

F.W. Taylor's Principles of Scientific Management

- **Science, Not Rule of Thumb:** Use scientific methods for tasks.
- **Harmony, Not Discord:** Foster cooperation between management and workers.
- **Cooperation, Not Individualism:** Work together for mutual benefit.
- **Development of Each and Every Person:** Improve skills and efficiency.

Techniques of Scientific Management

- **Standardization and Simplification of Work:** Standardizing tools, equipment, and methods.
- **Work Study:**
 - **Method Study:** Determining the best way to perform a job.
 - **Motion Study:** Analyzing movements to eliminate waste.
 - **Time Study:** Determining the standard time for a job.
 - **Fatigue Study:** Identifying rest periods needed.
- **Functional Foremanship:** Specialized supervision.
- **Differential Piece Wage System:** Rewarding higher productivity.

Managerial Ethos

Managerial ethos refers to the character and values of managers. Key values include:

- **Autonomy:** Allowing employees freedom within organizational constraints.
- **Equity:** Fair reward for performance.
- **Security:** Providing economic and emotional security.
- **Opportunity:** Offering career advancement and professional growth.

Planning

Planning is a fundamental managerial function that involves thinking in advance about what to do, how to do it, and who will do it. It bridges the gap between where we are and where we want to go.

Features of Planning

- Focuses on achieving objectives.
- Is a primary function of management.
- Is pervasive (applies to all levels and departments).
- Is continuous.
- Is futuristic/forward-looking.
- Involves decision-making.
- Is a mental exercise.

Importance of Planning

- Provides direction.
- Reduces the risk of uncertainty.
- Promotes innovative ideas.
- Facilitates decision-making.
- Reduces overlapping and wasteful activities.
- Establishes standards for controlling.

Limitations of Planning

- Leads to rigidity.
- May not work in a dynamic environment.
- Reduces creativity.
- Involves huge costs.
- Is a time-consuming process.
- Does not guarantee success.

Planning Process

1. Setting objectives.
2. Developing premises (assumptions about the future).
3. Identifying alternative courses of action.
4. Evaluating alternative courses.
5. Selecting an alternative.
6. Implementing the plan.
7. Follow-up action.

Types of Plans

- **Single-use Plans:**
For unique events (e.g., a specific project, budget).

- Objectives and Goals
 - Strategy
 - Programme
 - Budget
- **Standing Plans:**
For recurring events (e.g., policies, procedures).
 - Policy
 - Procedures
 - Rules
 - Method

Types of Planning

- **Strategic Planning:** Long-range, broad goals set by top management.
- **Tactical Planning:** Specific, short-range objectives set by lower-level managers.
- **Operational Planning:** Setting work standards and schedules.
- **Contingency Planning:** Backup plans for when primary plans fail.

Organizing

Organizing is the process of identifying and grouping work, defining and delegating responsibility and authority, and establishing relationships to enable effective collaboration toward achieving objectives. It creates a framework that clarifies roles, ensures optimal resource use, and fosters cooperation.

Importance of Organizing

- **Benefits of Specialization:** Enhances productivity through expertise.
- **Clarity in Working Relationships:** Defines reporting lines and fixes responsibility.
- **Optimum Utilization of Resources:** Avoids duplication and waste.
- **Adaptation to Change:** Flexible structures allow adjustments.
- **Effective Administration:** Clear job roles enhance efficiency.
- **Development of Personnel:** Delegation fosters creativity.
- **Expansion and Growth:** Enables adding departments or product lines.

Process of Organizing

1. **Identification and Division of Work:** Divide total work into manageable tasks.
2. **Departmentalisation:** Group similar tasks into departments.
3. **Assignment of Duties:** Allocate tasks to individuals based on skills.
4. **Establishing Authority and Reporting Relationships:** Define reporting lines and hierarchy.

Types of Organizational Structures

- **Functional Structure:**
Organized by functions performed (e.g., Marketing, Finance).
 - Leads to functional specialization.

- Economical due to no duplication.
- Difficult to fix responsibility across departments.
- **Divisional Structure:**
Organized by product line, territory, or region.
 - Leads to product specialization.
 - Helps in managerial development due to autonomy.
 - Costlier due to duplication of resources.
 - Easier to fix responsibility within each division.
- **Formal Organization:**
A system of well-defined jobs with authority, responsibility, and accountability.
 - Originates from company rules and policies.
 - Authority arises from position.
 - Behavior guided by rules.
 - Communication follows the scalar chain.
 - Rigid in nature.
 - Managers are leaders.
- **Informal Organization:**
A network of personal and social relationships.
 - Arises spontaneously from interaction.
 - Authority arises from personal qualities.
 - Behavior has no set pattern.
 - Communication can take place in any direction.
 - Flexible in nature.
 - Leaders are chosen by the group.

Decentralization vs. Delegation

- **Delegation:** A compulsory act of sharing tasks between a superior and subordinate. Offers less freedom of action.
- **Decentralization:** An optional policy of sharing decision-making power with lower levels. Offers greater freedom of action.

Staffing

Staffing involves manpower planning, recruitment, selection, training, compensation, and maintenance of managerial personnel.

Importance of Staffing

- Fills roles with competent personnel.
- Places the right person at the right job.
- Contributes to enterprise growth.
- Ensures optimum utilization of human resources.
- Helps in competing.
- Improves job satisfaction and morale.

- Is key to the effectiveness of other management functions.

Activities of Human Resource Management

- Human resource planning
- Recruitment, selection, and placement
- Career growth
- Performance appraisal
- Motivation
- Compensation
- Social security

Staffing Process

- Manpower Requirements
- Recruitment
- Selection
- Placement and Orientation
- Training and Development
- Performance Appraisal
- Promotion/Career Planning
- Compensation

Recruitment

The process of searching for prospective employees and stimulating them to apply for jobs.

- **Internal Sources:** Promotions, transfers, employee referrals, internal job postings, succession planning, boomerang employees, job rotation, internal talent pools, retired employees as consultants.
- **External Sources:** Media advertisement, employment exchange, factory gate recruitment, casual callers, campus placement, labor contractors, walk-ins, e-recruiting, management consultants.

Selection

Discovering the most promising and suitable candidate for a vacant job. The process typically involves:

- Resumes
- Preliminary Interview
- Shortlisting
- Selection Tests (e.g., aptitude, personality)
- Interview (Final)
- Reference Check
- Medical Check-up
- Salary Negotiation
- Offer Letter Release
- Employment Contract

Placement and Orientation

- **Placement:** Occupying the post by the selected candidate.
- **Orientation:** Introducing the new employee to colleagues, superiors, subordinates, and familiarizing them with rules and policies.

Training and Development

- **Training:** Equipping employees with the skills needed for their current job.
- **Development:** Overall growth of the employee, focusing on personal growth and future potential.

Methods of Training

- **On-the-Job Methods:** Apprenticeship training, coaching, internship training, job rotation.
- **Off-the-Job Methods:** Classroom lectures/conferences, case studies, computer modeling, vestibule training, programmed instruction.

Performance Appraisal

Evaluating employee performance against set standards. Superiors provide feedback reports.

Promotion and Career Planning

Placement of an employee at a higher job position with increased responsibility, status, and pay, often based on performance appraisal.

Compensation

The price paid for the job, including wages, salaries, rewards, incentives, and indirect payments (e.g., medical facilities, insurance).

Directing

Directing means giving instructions and guiding people in doing work. It is a continuous process that takes place at every level of the organization and flows from top to bottom.

Features of Directing

- Initiates action.
- Is a continuing function.
- Takes place at every level.
- Flows from top to bottom.
- Is performance-oriented.

- Involves the human element.

Importance of Directing

- Initiates actions.
- Increases productivity.
- Ensures effective supervision, motivation, leadership, and communication.
- Helps achieve organizational goals.
- Facilitates coping with changes.
- Ensures stability and balance.

Principles of Directing

- Unity of Command
- Unity of Direction
- Harmony of Objectives
- Direct Supervision
- Appropriate Leadership
- Follow-up

Elements of Directing

- **Supervision:** Overseeing the work of subordinates.
- **Motivation:** The process of stimulating people to act in a desired manner.
- **Leadership:** Influencing others to achieve goals.
- **Communication:** The process of sharing information.

Motivation

Motivation is the process of influencing people to behave in certain ways. It involves direction, effort, and persistence.

Characteristics of Motivation

- Goal-Driven
- Need to be Driven
- Positive or Negative
- Continuous Process
- Complex
- Psychological Aspect

Types of Motivation

- **Intrinsic Motivation:** Driven by internal rewards like curiosity, independence, challenge, and personal pleasure.
- **Extrinsic Motivation:** Driven by external rewards like bonuses, recognition, encouragement, and trophies.

Motivation Theories

Content (Needs) Theories

These theories explain *what* motivates people by focusing on their needs.

- **Maslow's Hierarchy of Needs:**
 - Physiological Needs (basic)
 - Safety Needs
 - Belongingness and Love Needs (Social)
 - Esteem Needs
 - Self-Actualization Needs (Psychological)
- **Alderfer's ERG Theory:**
A simplification of Maslow's theory.
 - Existence Needs (similar to Physiological and Safety)
 - Relatedness Needs (similar to Social)
 - Growth Needs (similar to Esteem and Self-Actualization)
- **McClelland's Theory of Needs (Learned Needs Theory):**
 - Need for Achievement (nAch)
 - Need for Affiliation (nAff)
 - Need for Power (nPow)
- **Herzberg's Two-Factor Theory (Motivation-Hygiene Theory):**
 - **Hygiene Factors:** When absent, cause dissatisfaction, but their presence doesn't necessarily motivate (e.g., salary, working conditions, company policies).
 - **Motivator Factors:** When present, increase job satisfaction and motivation (e.g., achievement, recognition, responsibility, growth).

Process (Cognitive) Theories

These theories focus on *how* motivation occurs through psychological processes.

- **Vroom's Expectancy Theory:**
Motivation is a product of three factors:
 - **Expectancy:** Belief that effort leads to performance.
 - **Instrumentality:** Belief that performance leads to rewards.
 - **Valence:** The value placed on the reward.
 - $\text{Motivation} = \text{Expectancy} \times \text{Instrumentality} \times \text{Valence}$
- **Adam's Equity Theory:** Employees compare their input-to-outcome ratio with that of others. Perceived inequity can lead to demotivation.
- **Locke's Goal Setting Theory:** Specific, challenging goals, with feedback, lead to higher performance.

Reinforcement Theory

- **Skinner's Reinforcement Theory:** Behavior is a function of its consequences. Rewards

reinforce behavior, while punishments can discourage it.

Controlling

Controlling is the management function of measuring actual performance, comparing it with standards, and taking corrective actions to achieve organizational goals.

Importance of Controlling

- Accomplishing organizational goals.
- Judging accuracy of standards.
- Making efficient use of resources.
- Improving employee motivation.
- Ensuring order and discipline.
- Facilitating coordination in action.

Process of Controlling

1. Establishing standards.
2. Measuring actual performance.
3. Comparing actual performance with standards.
4. Taking corrective actions.

Business Environment

The business environment encompasses all internal and external factors that affect how a company functions, including employees, customers, management, supply and demand, and regulations.

Characteristics of Business Environment

- **Complex:** Difficult to understand all interrelationships.
- **Dynamic:** Constantly changing.
- **Multi-faceted:** Involves various interconnected factors.
- **Far-reaching impact:** Affects all aspects of the business.
- **Uncertain:** Difficult to predict future changes.
- **Inter-relatedness:** Different factors are connected.
- **Relativity:** Environment differs from country to country and even region to region.
- **Totality of external forces:** Encompasses all external influences.
- **Specific and general forces:** Specific forces affect individual firms, while general forces affect all firms.

Importance of Business Environment

- **Identify Opportunities and First-Mover Advantage:** Allows firms to capitalize on emerging trends.
- **Identify Threats and Early Warning Signals:** Helps in preparing for potential problems.

- **Tapping Useful Resources:** Provides necessary inputs.
- **Coping with Rapid Changes:** Enables adaptation to the dynamic environment.
- **Better Reputation/Building Corporate Image:** Demonstrates responsibility.
- **Continuous Learning and Improving Performance:** Fosters growth and development.

Factors Affecting Business Environment

- **Internal Environment:** Value system, mission, objectives, organizational structure, corporate culture, human resources, labor unions, physical resources, technological capabilities.
- **External Environment:**
 - **Micro Environment:** Customers, competitors, suppliers, market, intermediaries.
 - **Macro Environment:** Economic, technological, social, political-legal, global, demographic, geographical, and ecological.

Environmental Analysis (Environmental Scan)

A strategic tool to identify and assess external and internal elements in a business environment.

- **Scanning:** Identifying new emerging trends.
- **Monitoring:** Considering possible changes before they occur.
- **Forecasting:** Conducting in-depth analysis of trends to predict market patterns.
- **Assessing:** Evaluating the impact of market changes on the organization.

Tools for Environmental Analysis

- **SWOT Analysis:**
 - **Strengths (Internal, Positive):** What the company does well.
 - **Weaknesses (Internal, Negative):** Areas for improvement.
 - **Opportunities (External, Positive):** Favorable trends to exploit.
 - **Threats (External, Negative):** Unfavorable trends or challenges.
- **PESTEL Analysis:**
Analyzes macro-environmental factors:
 - **Political:** Government policies, stability, trade restrictions.
 - **Economic:** Growth rate, inflation, interest rates, disposable income.
 - **Social:** Cultural aspects, demographics, health consciousness, lifestyle.
 - **Technological:** R&D, automation, technological change rate.
 - **Environmental:** Ecological aspects, climate change, natural resources.
 - **Legal:** Laws related to business operations, consumer protection, employment.

Micro Environment Components

- **Organization:** Owners, Board of Directors, Employees.
- **Customers:** Those who purchase products/services.
- **Competitors:** Other entities vying for resources and markets.
- **Suppliers:** Provide inputs, affecting cost structure.
- **Intermediaries:** Act as a bridge between manufacturer and marketer (e.g., distributors, retailers).

- **Market:** Characteristics like population size, income distribution, price sensitivity.

Macro Environment Components

- **Economic:** Economic growth, interest rates, inflation, exchange rates.
- **Political-Legal:** Government policies, laws, political stability.
- **Technological:** Innovation, R&D, automation.
- **Global:** International trade, global economic conditions, political climate.
- **Socio-Cultural:** Traditions, beliefs, values, demographics.
- **Demographic:** Population size, age distribution, income levels.
- **Environmental:** Natural resources, climate, pollution.

Corporate Social Responsibility (CSR)

CSR is a self-regulating business model that helps a company be socially accountable to itself, its stakeholders, and the public. It involves integrating economic, social, and environmental concerns into business operations.

Legal Mandate in India (Companies Act, 2013, Section 135)

Companies with a net worth of ₹500 crore or more, or a turnover of ₹1000 crore or more, or a net profit of ₹5 crore or more in a financial year, must spend at least 2% of their average net profits of the preceding 3 years on CSR activities.

Approved CSR Activities (Schedule VII)

- Eradicating hunger, poverty, and malnutrition.
- Promoting education and employment enhancing vocational skills.
- Promoting gender equality and women empowerment.
- Setting up facilities for senior citizens.
- Disaster relief.
- Rural and slum development.
- Promoting healthcare and sanitation.
- Protecting national heritage, art, and culture.
- Promoting rural sports, nationally recognized sports.
- Contribution to Prime Minister's National Relief Fund or other funds.
- Contribution to public-funded universities, incubators, and research institutions.
- Benefits to armed forces veterans, war widows, and their dependents.
- Environmental sustainability, ecological balance, conservation of natural resources.

Key Components of CSR

- Corporate Governance
- Business Ethics
- Workplace & labor relations
- Affirmative Action
- Supply Chain

- Customers
- Environment
- Community

Benefits of CSR

- Increase in customer retention.
- Winning new businesses.
- Saving money on energy and operating costs.
- Differentiating from competitors.
- Enhanced relationship with stakeholders.
- Attracting and retaining a happy workforce.
- Positive media attention and reputation.
- Increased influence in the industry.
- Access to funding opportunities.

Corporate Governance

Corporate governance is a system of mechanisms used to manage the relationships and conflicting interests among stakeholders, and to determine and control the strategic direction and performance of organizations.

Objectives of Good Corporate Governance

- Transparency and Accountability
- Risk and Performance Management
- Board, Supervisory Board, and Committees
- Vision, Values, and Ethics
- Strategy
- Monitoring and Internal Control
- Mission
- Policies & Regulatory Framework

Other Objectives

- Strengthen accountability and management oversight.
- Balance skills, experience, and independence on the board.
- Establish a code of integrity.
- Safeguard reporting integrity.
- Effective risk management and internal control.
- Disclosure of material information.
- Recognition and preservation of shareholder needs.

Growing Demand for Corporate Governance in India

- Major corporate scandals eroded trust.
- Economic liberalization increased competition and investor needs for transparency.
- Rising investor awareness and activism demanding accountability.
- Need to attract FDI and global capital.
- Globalization and alignment with international standards.

- Regulatory push (SEBI, Companies Act 2013).
- Shift in ownership patterns (rise of institutional investors).

Corporate Governance in India: Timeline

- **1988:** SEBI formed.
- **1992:** SEBI given statutory status after the Harshad Mehta scam.
- **1997:** CII accepted the need to strengthen corporate governance.
- **2006:** Narayan Murthy Committee recommended strengthening corporate governance.
- **2013:** Companies Act amended to strengthen corporate governance.
- **2017:** Kotak Mahindra Committee recommended ways to strengthen corporate governance.

Principles of Corporate Governance

- Transparency
- Responsibility
- Fairness
- Accountability
- Efficiency

Corporate Governance Theories

1. **Agency Theory:** Deals with the relationship between principals (shareholders) and agents (managers). Agents may act in their self-interest, leading to potential conflicts. Focuses on control and monitoring.
2. **Stewardship Theory:** Managers act as stewards, safeguarding company resources and interests. They are motivated by the principal's objectives, and their behavior is collective and trustworthy. Focuses on trust and empowerment.
3. **Shareholder Theory:** The corporation is the property of shareholders, and managers' primary duty is to maximize shareholder wealth.
4. **Stakeholder Theory:** The corporation exists to serve the interests of all stakeholders (shareholders, employees, customers, suppliers, community, government), not just shareholders. Managers must mediate conflicting stakeholder interests.

Shareholders vs. Stakeholders

- **Shareholders:** Own shares, have voting rights, focus on financial performance and return on investment.
- **Stakeholders:** Affected by the company or affect the company. Includes shareholders, employees, suppliers, customers, etc. Focus on overall company performance, longevity, and social welfare.

Ethics vs. CSR

- **Business Ethics:** Encompasses all ethical decision-making in commercial contexts, including obligations to employees, customers, suppliers, and competitors. Concerned with "good" or "bad" conduct.
- **CSR:** More narrowly focused on a company's social obligations to society at large and the environment. Integrates economic, social, and environmental targets.

Aspect	CSR	Corporate Governance
Primary focus	Various groups of stakeholders	Shareholder interest
Problems to solve	Conflict between business and society/environment	Principal-agent conflict, principal-principal conflict
Main task	Incorporating stakeholder interests, transparency	Investor protection, value creation, transparency
Performance	Social and environmental	Financial
Formalization	Low (recommendations, guidelines)	High (reporting standards, laws, fiduciary duty)
Shortcomings	Lack of regulation, weak accountability	Short-term orientation, risk of abuse